

Signs of the TIMES

Emboldened by painfully slow litigation, debtors use dud cheques to dodge creditors despite it being an offence

By Nishika Patel

On a September morning, when Kirti Patel made his way to the bank, he was confident that he would walk out a richer man. He was about to collect his monthly cheque from a company he had made a high-return investment with. Patel's happiness turned to disappointment when he realised that he had lost Rs 27.80 lakh, thanks to a pile of dud cheques. Patel's case is not uncommon. From Bollywood luminaries to finance companies and unscrupulous builders, debtors of all hues are issuing dud cheques to dodge creditors. Be they small-scale investors or the country's largest lenders, businesses and individuals across the board are being financially crippled by the alarming trend.

The problem is endemic with 38 lakh cheque bouncing cases pending in courts across the country. Despite cheque bouncing being a criminal offence, which can lead to two years in prison or a fine or both, people are issuing such promissory notes with impunity. Cases drag through courts for years and judges

fail to mete out tough punishments, fuelling the crime.

Mumbai, the country's financial capital, has one of the highest number of cheque bouncing cases. There are only 23 magistrate courts to hear 2.3 lakh cases in the city. With 6.4 lakh cases in the state, the Maharashtra Government recently framed rules for setting up 20 special evening courts, 10 of which would be in Mumbai alone. "These cases are piling up in the metro cities everyday, where there are a high number of commercial transactions. We need more courts to deal exclusively with these cases," says Bombay High Court's Additional Public Prosecutor Anand Patil. But judges who will be assigned the task of appointing judicial officers say the plan is not practical. Thousands of extra judicial officers would be needed and the judiciary already faces a severe crunch of judicial staff.

Typically, a cheque is said to have bounced when there are insufficient funds in the issuer's account and, therefore, the bank is unable to honour the drawer's request. It is a criminal offence under Section 138 of the Negotiable Instruments Act, because there is a breach of legal liability and

trust on the part of the person signing the cheque. "Cheque bouncing litigation causes stagnation in the economy as money is locked in courts, which hampers business activity," says Patil.

The only recourse victims have is drag the offenders to court but it takes an average of five years for a case to be concluded. A cheque bouncing case has been pending against finance company Geekay Exim India for 13 years, over a cheque of Rs 54 lakh it issued to Bangalore-based Kirloskar Investments and Finance. Actor Dilip Kumar, who was an honorary director at Geekay Exim, had to wait 13 years before he was exonerated last month, although he hadn't signed the cheques. "Kumar was simply a figurehead at Geekay and was wrongly accused because he is a big actor. He will be more careful about attaching himself with companies now," says his wife Saira Banu.

"These are cases that could be concluded in a day as all the victim has to do is show a court notice and a bank statement. But the judiciary is overburdened; there aren't enough magistrates and courtrooms to address the cases," says Bombay High Court advocate Mahesh Jethmalani.

38 lakh

Cheque bouncing cases are pending in courts in India.

Figures as of Oct 2008 (India); April 2009 (Mumbai & Maharashtra); Sept 2008 (Gujarat); Sept 2008 (Delhi magistrates' courts)